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BLUEGRASS CAPITAL RESEARCH

PayPal Holdings, Inc.

Checkout, Not Check Out

Despite negative investor sentiment and intensifying competition in digital payments, PayPal's fundamentals remain solid, with six consecutive quarters of profitable growth and leading market share in U.S. checkout. We believe recent headwinds stem from temporary consumer softness rather than structural deterioration, supported by improving execution in Europe and strategic positioning in AI-driven commerce. **We initiate PYPL with a BUY rating and a 12-month price target of $82**.

Thesis Point 1 Although management has met or exceeded targets, negative sentiment has pushed shares down roughly 20% year-to-date. Q2 earnings marked another quarter of growth, yet concerns over branded checkout deceleration weighed on valuation. Growth slowed from ~6% to 5% year-over-year, driven primarily by softer consumer spending rather than competitive displacement. Venmo continues to accelerate, contributing a 20% increase in total payment volume (TPV) year-over-year. Buy Now, Pay Later (BNPL) volume rose more than 20%, with PayPal now operating the largest BNPL network globally across nearly all core markets. PayPal remains the dominant player in U.S. online payments with roughly 47% market share, well ahead of Apple Pay (~14%) and Stripe (~8%).

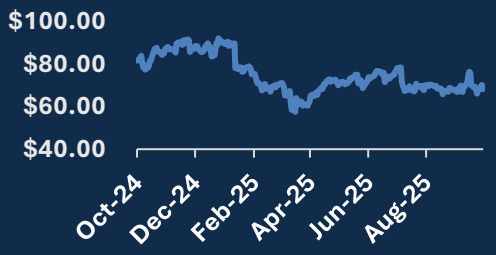
Management moved to reduce balance-sheet risk by selling $7 billion of BNPL receivables to Blue Owl Capital, returning $6 billion to shareholders through share repurchases. Despite these advancements, PayPal trades at 8.9x EV/EBITDA versus Block (XYZ) at 16.2x, reflecting a meaningful discount to peers.

Thesis Point 2 PayPal is a global leader in online payments serving 438 million users across ~200 markets, processing $1.68 trillion in TPV. This puts the company in a strong position to capitalize on emerging AI advancements. In early 2025, PayPal launched the first remote MCP server for commerce and formed partnerships with Perplexity, Anthropic, and Salesforce, enabling customers to shop directly within their AI platform. Combined with its established brand, vast data sources, and customer base, PayPal has embedded itself into AI-driven commerce, which remains underappreciated and not fully priced into the stock.

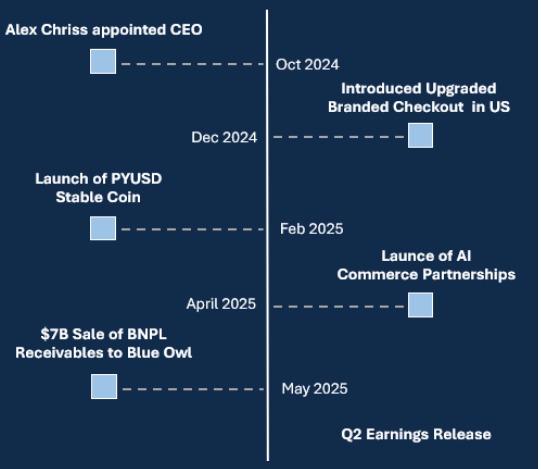
Company Overview PayPal Holdings, Inc., is a financial technology platform that facilitates payments for consumers and merchants. Its two primary brands, PayPal and Venmo, offer streamlined checkout experiences that allow customers to complete purchases without having to enter personal information, reducing cart abandonment and boosting merchants' conversion rates. In addition, Venmo is the leading peer-to-peer wallet in the U.S., while PayPal continues to innovate with new offerings such as PYUSD stablecoin and "Pay with Crypto." The company generates revenue from charging fees on payment transactions, accounting for roughly 90% of net revenue, with the remaining from other value-added services.

TICKER:	$PYPL
RATING:	BUY
PRICE:	$69.66
PRICE TARGET:	$82.00
MARKET CAP:	$66.5bn
52-W RANGE:	$55.85 - $93.66
P/E:	14.9x
IMPLIED UPSIDE:	18%

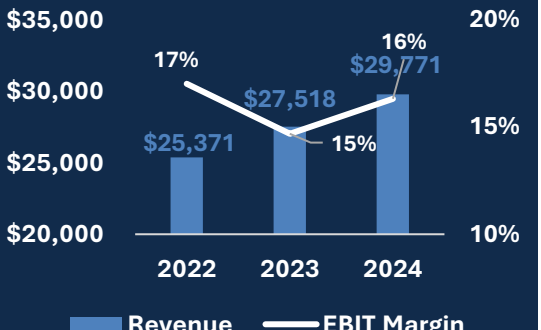
1 Year Price History



Recent Events Timeline



EBIT Margin with Annual Revenue



Risk 1 PayPal continues to lose share in branded checkout to competitors such as Stripe, Shop Pay, and Apple Pay. This competition could limit PayPal's ability to reaccelerate branded checkout growth despite product upgrades. As branded checkout remains PayPal's primary revenue driver, continued share loss would expose the company to consumer adoption of alternative payment methods, which could limit both earnings growth and multiple expansion.

Risk 2 PayPal's upgraded checkout platform is central to the company's near-term recovery. If European adoption proves slower than expected or conversion uplift fails to materialize, TPV growth could remain muted. Factors such as implementation delays, merchant resistance, or technical integration issues could reinforce market skepticism over PayPal's ability to reignite branded checkout growth, diminishing the intended catalyst effect.

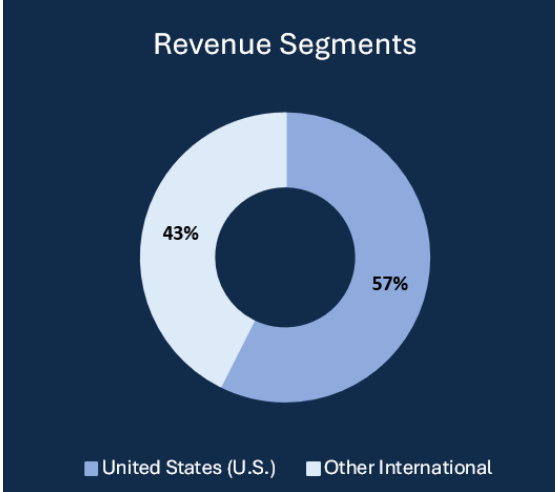
Catalyst Successful rollout of PayPal's upgraded branded checkout across Europe could serve as a near-term catalyst for reaccelerating TPV growth while easing market concerns over slower branded checkout performance. Management noted that roughly 60% of U.S. transactions now run on the upgraded platform, which has shown measurable conversion uplift. The rollout has begun in Germany and the U.K. While the pace of European adoption remains uncertain, improved execution and capital efficiency could reinforce confidence in PayPal's long-term growth trajectory.

Valuation

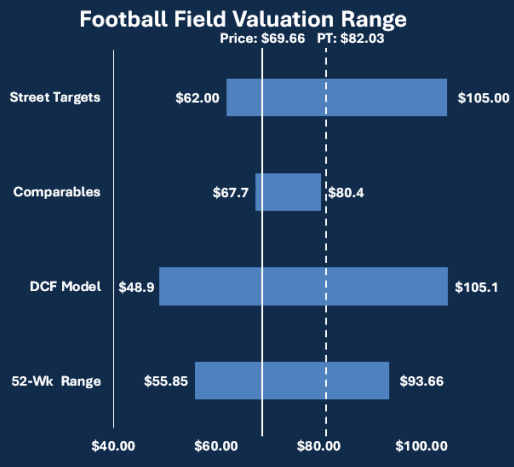
DCF Analysis ($mm)	FY2024 12/31/2024	FY2025 12/31/2025	FY2026 12/31/2026	FY2027 12/31/2027	FY2028 12/30/2028	FY2029 12/30/2029	FY2030 12/31/2030
Revenue	31,797	33,350	34,971	36,587	38,189	39,769	41,320
Revenue Growth	*7%*	*5%*	*5%*	*5%*	*4%*	*4%*	*4%*
United States (U.S.)	18,267	19,000	19,760	20,501	21,219	21,908	22,565
Other International	13,530	14,350	15,211	16,086	16,970	17,861	18,754
EBIT	5,632	5,700	5,945	6,311	6,683	7,059	7,438
EBIT Margin	*18%*	*17%*	*17%*	*17%*	*18%*	*18%*	*18%*
Tax Expense	1,182	1,190	1,248	1,325	1,403	1,482	1,562
Effective Tax Rate	*21%*	*21%*	*21%*	*21%*	*21%*	*21%*	*21%*
NOPAT	4,450.00	4,510.00	4,696.61	4,985.84	5,279.61	5,576.67	5,875.67
D&A	327	350	455	485	516	547	578
Capex	683	720	804	777	745	706	661
Changes in NWC	1,429	1,310	1,399	1,281	1,146	994	826
UFCF	2,665	2,830	2,948	3,413	3,905	4,423	4,967
PV of FCF		2,806	2,768	2,924	3,052	3,155	3,232

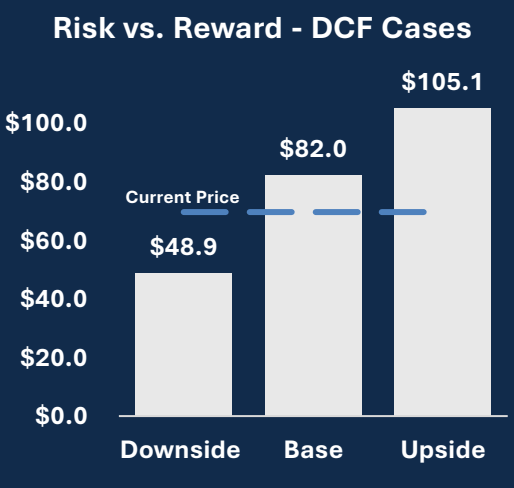
Our base case valuation assumes a 12.0x multiple, reflecting modest expansion as market sentiment normalizes. This aligns with peer averages and is supported by PayPal's execution in AI-driven commerce and European expansion. We project a 4.7% revenue CAGR, moderating to 3% over time, with EBIT margins stabilizing at 17–18%, in line with historical performance. Reference the appendix for our downside and upside case assumptions.

Conclusion We rate PayPal a BUY, as we view recent weakness in branded checkout growth as cyclical rather than structural. Strong profitability, operational execution, and leadership in digital payments position the company for renewed growth as European rollout and AI integration progress. Our $82 price target implies approximately 18% upside from current levels.



Terminal Value	
EV/EBITDA Exit Multiple	12.0x
Terminal Value	$96,192
PV of Terminal Value	$62,593
PV of Projection Period	$17,937
PV of Terminal Value	$62,593
Implied TEV	$80,530
(-) Debt	$12,172
(+) Cash	$10,008
Implied Equity Value	$78,366
Diluted Shares Outstanding	955
Implied Share Price	$82.03
Upside/Downside	17.8%





Bluegrass Capital Research

Income Statement ($mm)	2024A	2025E	2026E	2027E	2028E	CAGR%
Revenue	31,797	33,350	34,971	36,587	38,189	4.7%
EBITDA	5,959	6,050	6,400	6,796	7,199	4.8%
EBIT	5,632	5,700	5,945	6,311	6,683	4.4%
NOPAT	4,450	4,510	4,697	4,986	5,280	4.4%

Margin & Growth Data	2024A	2025E	2026E	2027E	2028E	AVG%
EBITDA Margin	18.7%	18.1%	18.3%	18.6%	18.9%	18.5%
EBIT Margin	17.7%	17.1%	17.0%	17.3%	17.5%	17.3%
Revenue Growth	6.8%	4.9%	4.9%	4.6%	4.4%	5.1%
EBIT Growth	16.0%	1.2%	4.3%	6.2%	5.9%	6.7%

Valuation Metrics	2024A	2025E	2026E	2027E	2028E	AVG%
P/FCF	25.1x	23.6x	22.7x	19.6x	17.1x	21.6x
EV/Sales	2.2x	2.1x	2.0x	1.9x	1.8x	2.0x
EV/EBITDA	11.6x	11.4x	10.8x	10.2x	9.6x	10.7x
FCF Yield	4.0%	4.2%	4.4%	5.1%	5.8%	4.7%

Comparable Companies

$mm

Ticker	Mkt Cap	EV	P/E LTM	Revenue LTM	EBITDA LTM
Block, Inc. (NYSE:XYZ)	$47,887	$47,194	16.7x	$23,835	$1,586
Fiserv, Inc. (NYSE:FI)	$67,384	$96,639	20.8x	$21,112	$9,450
Global Payments Inc. (NYSE:GPN)	$21,223	$36,108	14.8x	$10,066	$4,450
Shift4 Payments, Inc. (NYSE:FOUR)	$5,215	$7,354	29.7x	$3,611	$609
PayPal	$66,552	$68,716	14.9x	$32,292	$6,536

Ticker	LTM EV/EBITDA	Gross Margin	EBITDA Margin	EBIT Margin	1 Yr Rev Growth Rate LF
Block, Inc. (NYSE:XYZ)	29.8x	39.6%	6.7%	5.4%	1.4%
Fiserv, Inc. (NYSE:FI)	10.2x	61.1%	44.8%	30.0%	6.7%
Global Payments Inc. (NYSE:GPN)	8.1x	62.9%	44.2%	25.9%	15.5%
Shift4 Payments, Inc. (NYSE:FOUR)	12.1x	30.5%	16.9%	8.4%	23.9%
PayPal	10.5x	41.7%	20.2%	18.7%	4.1%
High	29.75x	62.9%	44.8%	30.0%	23.9%
75th Percentile	12.08x	61.1%	44.2%	25.9%	15.5%
Average	14.14x	47.2%	26.6%	17.7%	10.3%
Median	10.51x	41.7%	0.0%	18.7%	6.7%
25th Percentile	10.23x	39.6%	16.9%	8.4%	4.1%
Low	8.11x	30.5%	6.7%	5.4%	1.4%

PayPal		
Implied Enterprise Value (25th Percentile)	$	66,839
Implied Enterprise Value (Median)	**$**	**68,716**
Implied Enterprise Value (75th Percentile)	$	78,969
Implied Share Price (25th Percentile)	$	67.70
Implied Share Price (Median)	**$**	**69.66**
Implied Share Price (75th Percentile)	$	80.39

Weighted Average Cost of Capital ($mm)	
Market Risk Premium	4.33%
Beta	1.45
Risk Free Rate	4.39%
Cost of Equity	9.02%
Weighted Average Cost of Debt	4.80%
Tax Rate	21.00%
Cost of Debt	0.58%
Total Equity	$66,924
Total Debt	$2,164
Equity/Total Capitalization	84.61%
Debt/Total Capitalization	15.39%
WACC	9.60%

Downside Case: Our downside case applies a 9x multiple, assuming continued share loss and weak European adoption. Revenue growth slows to 1.4% by 2030, with limited margin recovery. This scenario yields a $48 price target.

Upside Case: Our upside case applies a 13x multiple, assuming stronger-than-expected execution. Revenue grows to ~8% by 2030, supporting a $105 price target.

Disclosures and Ratings: Bluegrass Capital Research does not hold any professional relationships with the securities mentioned in this report. Our ratings are defined as follows: **Buy** (expected to outperform the market), **Hold** (expected to perform in line with the market), and **Sell** (expected to underperform the market), typically over a 12-month horizon. This report is for educational and informational purposes only and should not be considered as financial advice.